Definitions

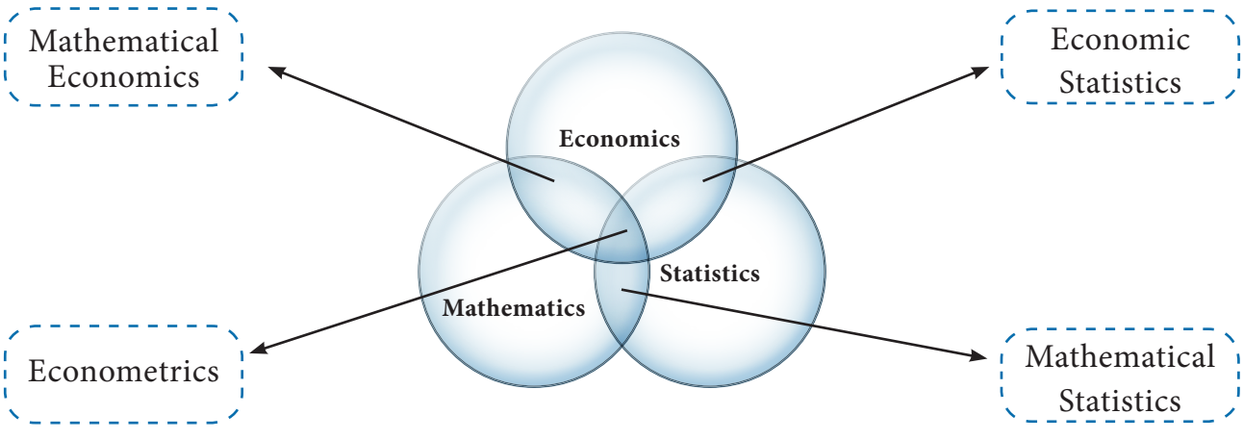
In the words of **Arthur S. Goldberger,** "Econometrics may be defined as the social science in which the tools of economic theory, mathematics and statistical inference are applied to the analysis of economic phenomena".

Gerhard Tinbergen points out that "Econometrics, as a result of certain outlook on the role of economics, consists of application of mathematical statistics to economic data to lend empirical support to the models constructed by mathematical economics and to obtain numerical results".

H Theil"Econometrics is concerned with the empirical determination of economic laws"

In the words of **Ragnar Frisch** "The mutual penetration of quantitative econometric theory and statistical observation is the essence of econometrics".

Econometrics means economic measurement. Econometrics deals with the measurement of economic relationships.



Objectives Of Econometrics

The general objective of Econometrics is to give empirical content to economic theory. The specific objectives are as follows:

1. It helps to explain the behaviour of a forthcoming period that is forecasting economic phenomena.

2. It helps to prove the old and established relationships among the variables or between the variables

3. It helps to establish new theories and new relationships.

4. It helps to test the hypotheses and estimation of the parameter.

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